Kotak Mahindra Bank Ltd (KOTAKBANK)

ROE	15.1%
ROCE	7.86%
CFO Quality	Moderate
Capital Allocation	Mixed

Strengths

• Net profit compounding at above 20% over 5 years creates significant shareholder value.

• Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.

• Return on equity improving for 3 consecutive years shows strengthening business quality.

• Revenue growing slower than profits shows improving operating leverage and scale benefits.

Risks

• Debt-to-equity ratio of 4.00 is elevated and warrants monitoring.

• Interest coverage ratio below 1.5x indicates risk in meeting debt obligations.

• Total debt exceeding 3 times operating cash flow limits financial flexibility.